Deutsche Bank
Research

Rating
Buy

North America
United States

TMT
Internet

Company
Alphabet

Reuters
GOOG.OQ

Bloomberg
GOOGL US

Date
29 October 2026

Rating	Buy
Price target (USD)	390.00
Price at 28 Oct 26	321.89
52-week range	398.80 – 267.90

Valuation & Risks

Monetization Follows Engagement

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Key changes

Price target (USD)	*430*	390	-9%

Source: Deutsche Bank

Alphabet's 3Q26 headline results were disappointing, with Search below our estimate / buyside expectations, while Cloud came in somewhat shy of the loftier bogey despite 103% y/y growth. Looking slightly further out, the near-term setup also becomes more difficult: Search faces tougher comparisons in the 4Q, AI Mode is currently dilutive to monetization, and third-party bridge capacity should pressure Cloud margins as usage ramps. **With all that said, we are defending the stock. This is largely due to the fact that AI is driving the strongest Search query growth in five years, including commercial queries, while Alphabet is beginning to scale advertising across these new experiences.** We see a similar progression to Meta's rollout of Reels: engagement shifted toward a new, initially lower-monetizing surface, creating a near-term revenue headwind before product improvements and advertiser adoption closed the monetization gap and turned Reels into an incremental growth driver. We think Alphabet could follow a similar path, with Cloud growth and direct TPU sales supporting earnings while Search gradually monetizes new AI-driven query volume. Longer term, Gemini's new frontier models (Argon/Carbon), GCP infrastructure, and the company's merchant integration provide Alphabet with the capabilities required to extend agentic experiences across its 14 billion-user products, unlocking the larger agentic consumer TAM. However, while we maintain our Buy rating, in light of the near-term headwinds, we lower our FY27/FY28 GAAP EPS estimates to $13.95/$17.30 from $14.80/$17.64 and modestly reduce our target price to $390 from $430, which implies 28x FY27 GAAP EPS.

AI Search Is Following the Reels Monetization Curve

Search revenue increased 12% y/y to $63.3bn, below our $64.7 estimate. FX, World Cup-related strength in the prior quarter and weaker APAC-based retail spending contributed to the sequential deceleration. Looking ahead, we note that Search also faces roughly two points of comp pressure in 4Q, with AI Mode potentially creating incremental monetization dilution, as certain queries would have generated more revenue through traditional Search.

Looking back to 2022, we saw a similar dynamic when Meta scaled Reels. Reels increased overall engagement but initially shifted time away from better-monetized Feed and Stories inventory, creating a significant revenue headwind. Native advertising formats, improving monetization efficiency and broader advertiser adoption subsequently closed the gap, with Reels becoming revenue-neutral and then an incremental growth driver.

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AI Mode is at an earlier point on the same curve. That said, overall query growth reached its highest level in five years, AI experiences are increasing commercial queries, and most AI Mode activity is incremental. The company is now expanding ads in AI Mode internationally, scaling monetization across more query types, and introducing multi-turn formats in the U.S. Sponsored product listings are also producing encouraging click-through rates, although conversational and multimodal journeys likely require additional formats. We expect the monetization gap to gradually narrow as those products mature, with AI-driven query growth ultimately becoming incremental to Search revenue.

Capacity Should Unlock Cloud Growth

Cloud revenue increased 103% y/y to $30.7bn, while operating margin hit 36.2%. Core GCP remained the largest growth contributor, with TPU system sales also providing a meaningful benefit. Backlog increased 9% q/q to $561bn, with 55% expected to convert over the next 24 months. **Third-party bridge capacity arrived only at the end of 3Q, which we think limited the company's ability to serve incremental demand during the quarter. With that capacity now available, we expect Cloud growth to accelerate as Alphabet fulfills demand that continues to meaningfully exceed supply.** Of course, external compute carries a higher cost and as a result should weigh on Cloud margins in the 4Q and into 2027, though we contend the longer-term benefits of serving incremental demand likely outweigh the slightly elevated near-term expenses. Direct TPU sales add another growth channel. Alphabet is now monetizing its infrastructure through hosted Cloud consumption and systems installed in customer or partner facilities. We think these sales broaden the TAM, improve TPU scale economics, and allow customers to fund more of the required infrastructure.

Agents Extend the Search Opportunity

We think Alphabet has assembled the core fundamental building blocks for agentic commerce: frontier models, GCP infrastructure, one billion Gemini users, merchant integrations, the Universal Commerce Protocol, and a payments protocol. Agents can reduce friction across discovery, comparison and purchasing, bringing more commercial activity into Google's ecosystem over time. It appears that Gemini will lead the initial consumer rollout, followed by broader integration across Search, Chrome, Android, Maps and other services. In our view, the company's distribution and ability to connect context across products create a meaningful advantage as agents move from answering questions toward completing tasks. We expect these experiences to generate incremental commercial queries, transactions and advertising opportunities over time, which should prove additive to Search revenue.

Estimate Revisions and Valuation

We are lowering our FY27/FY28 Search revenue estimates to $279.5b/$307.5bn from $293.9bn/$320.4bn but raising our Cloud revenue estimates. Altogether, our FY27/28 revenue estimates increase to $637.2bn/$809.6bn from $628.8bn/$751.9bn.

We reduce our FY27/FY28 operating margin estimates to 33.7% / 33.9% from 35.5% / 36.0% as higher depreciation, third-party compute expense and AI infrastructure costs offset the Cloud revenue upside. Our FY27/FY28 GAAP EPS estimates move to $13.95/$17.30 from $14.80/$17.64.

We lower our target price to $390 from $430, implying 28x our FY27 GAAP EPS estimate. We maintain our Buy rating. Accelerating Search engagement, additional Cloud capacity and Alphabet's emerging agentic distribution support a durable growth profile as AI monetization scales.

We value Alphabet as the average of our sum-of-the-parts analysis and P/E multiple methodology, both based on our FY27 estimates. Our price target is anchored to a 27x FY27 GAAP P/E multiple, which is a premium to the market given our expectations for sustainable double-digit EPS growth in the near-to-mid term.

Key risks include: 1) Regulatory oversight has become more relaxed recently, but if scrutiny increases, Alphabet, as one of the largest global consumer-facing internet companies, could see more targeted enforcement. 2) While Alphabet's Other Bets losses have been contained over the last few years, significant investment, absent a clear path to ROI, could weigh on investor sentiment, potentially creating downward pressure on the stock. 3) Overall deterioration of macro conditions could drastically reduce advertisers' ad budgets, thus impacting Google Search and YouTube revenues.

Figure 1: Actuals vs. Estimates

3Q26A - Actuals Versus Estimates

(In Millions, unless otherwise noted)	Actual Reported	DB Est. (DBe)	Actual vs. DBe	Street Estimate	Actual vs. Street	3Q25A	y/y change	2Q26A	q/q change
Revenue	**$127,577**	**$127,975**	(0.3)%	**$127,903**	(0.3)%	**$102,346**	24.7%	**$119,796**	6.5%
Google Services	96,302	98,400	(2.1)%	98,399	(2.1)%	87,052	10.6%	94,540	1.9%
Google Advertising	82,012	83,578	(1.9)%	83,517	(1.8)%	74,182	10.6%	81,629	0.5%
Google Search	63,350	64,655	(2.0)%	64,851	(2.3)%	56,567	12.0%	63,271	0.1%
YouTube Ads	11,207	11,626	(3.6)%	11,425	(1.9)%	10,261	9.2%	11,055	1.4%
Google Network	7,455	7,297	2.2%	7,241	3.0%	7,354	1.4%	7,303	2.1%
Subs., Platforms & Devices	14,290	14,822	(3.6)%	14,785	(3.3)%	12,870	11.0%	12,911	10.7%
Google Cloud	30,709	29,223	5.1%	29,065	5.7%	15,157	102.6%	24,768	24.0%
Other Bets	372	352	5.7%	388	(4.1)%	344	8.1%	382	(2.6)%
GAAP Op Income	**$40,576**	**$43,894**	(7.6)%	**$43,153**	(6.0)%	**$31,228**	29.9%	**$40,770**	(0.5)%
Google Services	39,157	40,358	(3.0)%	40,534	(3.4)%	33,527	16.8%	39,544	(1.0)%
Google Cloud	11,121	9,950	11.8%	9,752	14.0%	3,594	209.4%	8,814	26.2%
Other Bets	(2,047)	(1,565)		(1,715)		(1,426)		(1,799)	
Alphabet-level activities	(7,655)	(4,849)		(5,488)		(4,467)		(5,789)	
GAAP Op Income Margins	31.8%	34.3%	(249) bps	33.7%	(193) bps	30.5%	+129 bps	34.0%	(223) bps
Google Services Margins	40.7%	41.0%	(35) bps	41.2%	(53) bps	38.5%	+215 bps	41.8%	(117) bps
Google Cloud Margins	36.2%	34.0%	+216 bps	33.6%	+266 bps	23.7%	+1250 bps	35.6%	+63 bps
Other Bets Margins	(550.3)%	(444.5)%		(442.3)%		(414.5)%		(470.9)%	
Diluted EPS	**$2.12**	**$2.97**	(28.7)%	**$2.99**	(29.2)%	**$2.87**	(26.2)%	**$9.11**	(76.8)%
Capex	**$51,355**	**$57,589**	(10.8)%	**$55,783**		**$23,953**	114.4%	**$44,924**	14.3%
% of Revenue	40.3%	45.0%		43.6%		23.4%		37.5%	
Free Cash Flow (FCF)	**$(9,065)**	**$(18,865)**	n.m.f.			**$24,461**	n.m.f.	**$(5,855)**	n.m.f.
FCF Margins	(7.1)%	(14.7)%	n.m.f.			23.9%	(3101) bps	(4.9)%	(222) bps

Source: Company data, Bloomberg Finance LP, Deutsche Bank Research

Figure 2: Longer-term Outlook

Key Estimates	4Q26E							1Q27E						
(In Millions, unless otherwise noted)	DB Est. (DBe)			Street				DB Est. (DBe)			Street			
	Current	Previous	change	Estimate	DBe vs St.	4Q25A	y/y change	Current	Previous	change	Estimate	DBe vs St.	1Q26A	y/y change
Revenue	**$142,170**	**$143,216**	(0.7)%	**$142,554**	(0.3)%	**$113,828**	24.9%	**$137,543**	**$140,714**	(2.3)%	**$138,947**	(1.0)%	**$109,896**	25.2%
Google Services	103,952	108,164	(3.9)%	107,127	(3.0)%	95,862	8.4%	96,369	101,732	(5.3)%	99,429	(3.1)%	89,637	7.5%
Google Advertising	88,920	92,460	(3.8)%	91,558	(2.9)%	82,284	8.1%	82,627	87,375	(5.4)%	85,400	(3.2)%	77,253	7.0%
Google Search	68,231	71,452	(4.5)%	71,060	(4.0)%	63,073	8.2%	64,905	68,966	(5.9)%	67,524	(3.9)%	60,399	7.5%
YouTube Ads	12,769	13,237	(3.5)%	12,791	(0.2)%	11,383	12.2%	10,719	11,408	(6.0)%	10,999	(2.5)%	9,883	8.5%
Google Network	7,920	7,772	1.9%	7,707	2.8%	7,828	1.2%	7,003	7,001	0.0%	6,877	1.8%	6,971	0.5%
Subs., Platforms & Devices	15,032	15,703	(4.3)%	15,551	(3.3)%	13,578	10.7%	13,741	14,357	(4.3)%	14,093	(2.5)%	12,384	11.0%
Google Cloud	37,832	34,672	9.1%	34,922	8.3%	17,664	114.2%	40,749	38,541	5.7%	38,284	6.4%	20,028	103.5%
Other Bets	385	380	1.3%	415	(7.1)%	370	4.2%	425	442	(3.7)%	456	(6.9)%	411	3.5%
GAAP Op Income	**$43,700**	**$48,186**	(9.3)%	**$48,258**	(9.4)%	**$35,934**	21.6%	**$48,872**	**$50,769**	(3.7)%	**$50,261**	(2.8)%	**$39,696**	23.1%
Google Services	43,519	44,200	(1.5)%	44,856	(3.0)%	40,132	8.4%	43,637	47,083	(7.3)%	45,476	(4.0)%	40,589	7.5%
Google Cloud	13,242	11,907	11.2%	11,542	14.7%	5,313	149.2%	13,162	12,169	8.2%	13,282	(0.9)%	6,598	99.5%
Other Bets	(1,841)	(1,817)		(2,183)		(3,617)		(2,066)	(2,146)		(1,911)		(2,100)	
Alphabet-level activities	(11,221)	(6,105)		(6,473)		(5,894)		(5,861)	(6,338)		(6,492)		(5,391)	
GAAP Op Income Margins	30.7%	33.6%	(291) bps	33.9%	(312) bps	31.6%	(83) bps	35.5%	36.1%	(55) bps	36.2%	(64) bps	36.1%	(59) bps
Google Services Margins	41.9%	40.9%	+100 bps	41.9%	(1) bps	41.9%	(0) bps	45.3%	46.3%	(100) bps	45.7%	(46) bps	45.3%	---
Google Cloud Margins	35.0%	34.3%	+66 bps	33.1%	+195 bps	30.1%	+492 bps	32.3%	31.6%	+73 bps	34.7%	(239) bps	32.9%	(64) bps
Other Bets Margins	(477.6)%	(477.6)%		(526.0)%		(977.6)%		(485.9)%	(485.9)%		(418.6)%		(510.9)%	
Diluted EPS	**$2.90**	**$3.24**	(10.5)%	**$3.35**	(13.6)%	**$2.82**	2.7%	**$3.21**	**$3.40**	(5.5)%	**$3.46**	(7.3)%	**$5.11**	(37.2)%
Capex	**$72,506**	**$64,447**	12.5%	**$66,442**		**$27,851**	160.3%	**$74,961**	**$77,393**	(3.1)%	**$69,466**		**$35,674**	110.1%
% of Revenue	51.0%	45.0%		46.6%		24.5%		54.5%	55.0%		50.0%		32.5%	
Free Cash Flow (FCF)	**$(24,757)**	**$1,433**	n.m.f.			**$24,551**	n.m.f.	**$(17,774)**	**$(11,821)**	n.m.f.			**$10,116**	n.m.f.
FCF Margins	(17.4)%	1.0%	n.m.f.			21.6%	n.m.f.	(12.9)%	(8.4)%	n.m.f.			9.2%	n.m.f.

	2026E							2027E						
	DB Est. (DBe)			Street				DB Est. (DBe)			Street			
	Current	Previous	change	Estimate	DBe vs St.	2025A	y/y change	Current	Previous	change	Estimate	DBe vs St.	2026E	y/y change
Revenue	**$499,439**	**$500,882**	(0.3)%	**$499,764**	(0.1)%	**$402,836**	24.0%	**$637,220**	**$628,841**	1.3%	**$624,961**	2.0%	**$499,439**	27.6%
Google Services	384,431	390,741	(1.6)%	389,361	(1.3)%	342,721	12.2%	419,468	438,544	(4.3)%	432,083	(2.9)%	384,431	9.1%
Google Advertising	329,814	334,921	(1.5)%	333,699	(1.2)%	294,691	11.9%	358,508	374,421	(4.3)%	369,088	(2.9)%	329,814	8.7%
Google Search	255,251	259,777	(1.7)%	259,328	(1.6)%	224,532	13.7%	279,522	293,944	(4.9)%	290,531	(3.8)%	255,251	9.5%
YouTube Ads	44,914	45,800	(1.9)%	45,114	(0.4)%	40,367	11.3%	49,011	51,302	(4.5)%	49,844	(1.7)%	44,914	9.1%
Google Network	29,649	29,343	1.0%	29,257	1.3%	29,792	(0.5)%	29,975	29,175	2.7%	28,713	4.4%	29,649	1.1%
Subs., Platforms & Devices	54,617	55,820	(2.2)%	55,551	(1.7)%	48,030	13.7%	60,960	64,123	(4.9)%	63,671	(4.3)%	54,617	11.6%
Google Cloud	113,337	108,690	4.3%	109,022	4.0%	58,705	93.1%	216,139	188,673	14.6%	191,176	13.1%	113,337	90.7%
Other Bets	1,550	1,525	1.6%	1,591	(2.5)%	1,537	0.9%	1,613	1,624	(0.7)%	1,764	(8.6)%	1,550	4.1%
GAAP Op Income	**$164,742**	**$172,546**	(4.5)%	**$171,579**	(4.0)%	**$129,039**	27.7%	**$214,829**	**$223,002**	(3.7)%	**$221,510**	(3.0)%	**$164,742**	30.4%
Google Services	162,809	164,691	(1.1)%	162,699	0.1%	139,404	16.8%	177,590	189,279	(6.2)%	187,852	(5.5)%	162,809	9.1%
Google Cloud	39,775	37,269	6.7%	36,192	9.9%	13,910	185.9%	74,039	66,361	11.6%	67,560	9.6%	39,775	86.1%
Other Bets	(7,787)	(7,281)		(7,672)		(7,515)		(7,699)	(7,348)		(7,611)		(7,787)	
Alphabet-level activities	(30,056)	(22,133)		(23,094)		(16,760)		(29,101)	(25,291)		(27,108)		(30,056)	
GAAP Op Income Margins	33.0%	34.4%	(146) bps	34.3%	(135) bps	32.0%	+95 bps	33.7%	35.5%	(175) bps	35.4%	(173) bps	33.0%	+73 bps
Google Services Margins	42.4%	42.1%	+20 bps	41.8%	+56 bps	40.7%	+167 bps	42.3%	43.2%	(82) bps	43.5%	(114) bps	42.4%	(1) bps
Google Cloud Margins	35.1%	34.3%	+81 bps	33.2%	+190 bps	23.7%	+1140 bps	34.3%	35.2%	(92) bps	35.3%	(108) bps	35.1%	(84) bps
Other Bets Margins	(502.2)%	(477.3)%		(482.2)%		(488.9)%		(477.2)%	(452.4)%		(431.4)%		(502.2)%	
Diluted EPS	**$19.21**	**$20.37**	(5.7)%	**$20.48**	(6.2)%	**$10.81**	77.7%	**$13.95**	**$14.80**	(5.8)%	**$15.23**	(8.4)%	**$19.21**	(27.4)%
Capex	**$204,459**	**$202,634**	0.9%	**$202,019**		**$91,447**	123.6%	**$347,285**	**$345,863**	0.4%	**$314,952**		**$204,459**	69.9%
% of Revenue	40.9%	40.5%		40.4%		22.7%		54.5%	55.0%		50.4%		40.9%	33.1%
Free Cash Flow (FCF)	**$(29,561)**	**$(13,172)**	n.m.f.			**$73,266**	n.m.f.	**$(72,206)**	**$(62,599)**	n.m.f.			**$(29,561)**	n.m.f.
FCF Margins	(5.9)%	(2.6)%	n.m.f.			18.2%	n.m.f.	(11.3)%	(10.0)%	n.m.f.			(5.9)%	n.m.f.

Source: Company data, Bloomberg Finance LP, Deutsche Bank Research

Appendix 1

Important Disclosures

Company	Ticker	Recent price	Disclosure
Alphabet	GOOG.OQ	321.89 (USD) 28 Oct 26	1, 2, 7, 8, 14, 15, 21, 24, 26

Prices are current as of the end of the previous trading session unless otherwise indicated and are sourced from local exchanges via Reuters, Bloomberg and other vendors. Other information is sourced from Deutsche Bank, subject companies, and other sources.

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Analyst Certification

The views expressed in this report accurately reflect the personal views of the undersigned lead analyst(s). In addition, the undersigned lead analyst(s) has not and will not receive any compensation for providing a specific recommendation or view in this report. Benjamin Black, CFA.

Historical recommendations and target price: Alphabet (GOOG.OQ)



1.	26 Jan 24	Price target: 168 (USD), close price 153.79 (USD), Recommendation: Buy, Analyst: Benjamin Black, CFA
2.	31 Jan 24	Price target: 165 (USD), close price 141.8 (USD), Recommendation: Buy, Analyst: Benjamin Black, CFA
3.	19 Apr 24	Price target: 170 (USD), close price 155.72 (USD), Recommendation: Buy, Analyst: Benjamin Black, CFA
4.	26 Apr 24	Price target: 190 (USD), close price 173.69 (USD), Recommendation: Buy, Analyst: Benjamin Black, CFA
5.	18 Jul 24	Price target: 195 (USD), close price 179.22 (USD), Recommendation: Buy, Analyst: Benjamin Black, CFA
6.	30 Oct 24	Price target: 205 (USD), close price 176.14 (USD), Recommendation: Buy, Analyst: Benjamin Black, CFA
7.	31 Jan 25	Price target: 215 (USD), close price 205.6 (USD), Recommendation: Buy, Analyst: Benjamin Black, CFA
8.	25 Apr 25	Price target: 200 (USD), close price 163.85 (USD), Recommendation: Buy, Analyst: Benjamin Black, CFA
9.	24 Jul 25	Price target: 215 (USD), close price 193.2 (USD), Recommendation: Buy, Analyst: Benjamin Black, CFA
10.	3 Sep 25	Price target: 260 (USD), close price 231.1 (USD), Recommendation: Buy, Analyst: Benjamin Black, CFA
11.	30 Oct 25	Price target: 340 (USD), close price 281.9 (USD), Recommendation: Buy, Analyst: Benjamin Black, CFA
12.	20 Jan 26	Price target: 370 (USD), close price 322.16 (USD), Recommendation: Buy, Analyst: Benjamin Black, CFA
13.	5 Feb 26	Price target: 390 (USD), close price 331.33 (USD), Recommendation: Buy, Analyst: Benjamin Black, CFA
14.	30 Apr 26	Price target: 430 (USD), close price 381.94 (USD), Recommendation: Buy, Analyst: Benjamin Black, CFA





Company rating dispersion and banking relationships

DBSI Companies under Coverage	Buy	Hold	Sell
Covered	58%	42%	0%
w/ Banking relationship	43%	33%	0%
w/ MiFID services	62%	51%	67%

Global Companies under Coverage	Buy	Hold	Sell
Covered	58%	40%	2%
w/ Banking relationship	45%	32%	27%
w/ MiFID services	74%	67%	90%

Company Rating and Dispersion Key

The above table provides a snapshot of Deutsche Bank's company research rating distribution across our covered companies. We also present the percentage of companies where Deutsche Bank has provided Investment Banking Services in the past 12 months and/or MIFID Investment and Ancillary services, in the past 12 months. Please see the key and definition of our rating below.

Note - percentages are rounded so may not total 100%.

Covered: The overall rating distribution across all companies under coverage with a rating.

w/Banking relation: Percentage of companies under coverage with a rating within each of the "buy", "hold" and "sell" categories for which Deutsche Bank has provided Investment Banking Services within the previous 12 months.

w/MiFID services: Percentage of companies under coverage with a rating within each of the "buy", "hold" and "sell" categories for which Deutsche Bank has provided MIFID Investment and Ancillary services within the previous 12 months.

Buy/Hold/Sell Percentages: These percentages reflect the proportion of companies within each category that have been assigned the corresponding rating, based on our 12-month view of Total Shareholder Return (TSR).

Rating definitions:

Buy: Based on a current 12-month view of TSR, we recommend that investors buy the stock.

Sell: Based on a current 12-month view of TSR, we recommend that investors sell the stock.

Hold: We take a neutral view on the stock 12-months out and, based on this time horizon, do not recommend either a Buy or Sell.

TSR: Total Shareholder Return. Percentage change in share price from current price to projected target price plus projected dividend yield.

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